

POLICY & REGULATION

Apex's Dormant Brooklyn Site Shows the Capital Stack Has a Political Problem

Approval alone doesn't build housing. The debt and equity math must work, and right now it doesn't.

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A source-grounded Light Tower Insight.

Walk past 441 and 467 Prospect Avenue in Brooklyn and you will see a development site that has not moved. Apex Development received approval 17 months ago for 250 apartments. There is no timeline to break ground. The city council member who helped secure the rezoning is now recruiting a task force to monitor construction that has not started.

The gap between approval and shovels is not a story about local politics, though local politics is part of it. It is a story about a capital stack that no longer pencils. The project was approved in February 2025, when the market expected interest rates to fall and lenders to loosen. Instead, tariffs, a war in Iraq, and persistent inflation have pushed rate cuts off the table. The Mortgage Bankers Association now expects the Federal Reserve to hold rates through 2026 and possibly hike in early 2027.

That macro shift changes the math for every development project. For this one, it may be fatal.

Apex principal Andrew Esposito agreed to set aside 40 percent of units for tenants earning an average of 60 percent of area median income. He also committed to a child care center and space for domestic violence victims. Those are not revenue-generating uses. The project relies on 150 market-rate units to subsidize 100 affordable ones. That cross-subsidy works only when market-rate rents are high enough and construction costs are low enough. Right now, neither condition holds.

The 485x tax incentive adds another layer. It requires a prevailing wage scale that raises hard costs. Construction unions are reportedly considering a lawsuit to prevent developers from clustering 99-unit projects to circumvent the mandate. Even if that lawsuit does not materialize, the wage floor is a fixed cost that does not move with interest rates or rent projections.

Esposito is hunting for debt. That is the right move, but the pool of lenders willing to underwrite a ground-up multifamily project with 40 percent affordability, a high wage mandate, and

uncertain rent growth is small. Construction lenders want a clear path to lease-up and a sponsor with enough equity to absorb delays. Apex has the approval but not the financing. The two are not the same.

The council member, Shahana Hanif, pioneered a new progressive playbook by not reducing the unit count while maximizing affordability. That was a political win. But the economics of the deal were always contingent on a rate environment that has not arrived. Hanif's vision may eventually be borne out, as the article notes, but eventually is not a construction loan covenant.

This is not an isolated case. Every development project approved in 2024 and 2025 that assumed lower rates and looser credit is now being stress-tested by a macro environment that has moved the other way. The ones with thin equity cushions, high affordability requirements, and rigid cost structures are the most exposed. Apex's site is a visible example of a hidden problem: approval does not equal execution.

The market should watch what happens next. If Esposito finds debt, it will be at a higher cost and with tighter terms than he expected 17 months ago. The equity partners will demand a higher return to compensate for the delay and the macro uncertainty. The project may still happen, but the capital stack will look different than the one that was approved.

If he does not find debt, the site will sit. The approval will expire or need to be renewed. The council member's task force will have nothing to monitor. And the 250 apartments that were supposed to help meet New York's housing demand will remain a line on a zoning map.

The lesson for developers, lenders, and policymakers is straightforward: zoning and tax incentives create the legal framework for housing, but they do not create the capital. The capital comes from a debt market that prices risk in real time. Right now, the risk is too high and the return too uncertain for this project to close.

The site at 441 and 467 Prospect Avenue is dormant because the capital stack has a political

problem. The politics got the approval. The economics have not yet delivered the money._____